

Solar Plus Storage EPC and Operations Agreement

SOLAR PLUS STORAGE EPC AND OPERATIONS AGREEMENT **Agreement Number:** SSO-2028-EPC-3375

Owner: SunRiver County Clean Energy Authority **Contractor:** ArcLight Renewable

Infrastructure LLC **Project:** 150 MWac solar photovoltaic facility and 80 MWh battery energy

storage system **Site:** SunRiver County Renewable Energy Zone, Parcel Blocks A through H

Effective Date: January 10, 2028 **Commercial Operation Deadline:** December 31, 2029

Operations Term: Ten years after commercial operation **Governing Law:** Colorado --- ##

ARTICLE I: PROJECT OVERVIEW ### Section 1.01: Project Description ArcLight shall design, engineer, procure, construct, commission, test, and provide initial operations and maintenance for a utility-scale solar photovoltaic and battery storage project.

The project includes photovoltaic arrays, inverters, trackers, medium voltage collection system, substation upgrades, battery containers, power conversion systems, SCADA, metering, communications, roads, drainage, fencing, security, spare parts, and grid interconnection equipment.

Section 1.02: Owner Objectives The Owner requires predictable delivery dates, measurable plant performance, safety compliance, environmental compliance, transparent reporting, and enforceable remedies.

The project supports a public renewable energy target and power purchase commitments.

Section 1.03: Contract Documents The Contract Documents include this Agreement, Exhibit A technical specifications, Exhibit B milestone schedule, Exhibit C performance test protocol, Exhibit D pricing schedule, Exhibit E operations and maintenance scope, Exhibit F environmental commitments, and approved change orders.

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Engineering deliverables must be stamped where required and submitted through the Owner document control platform.

Section 2.02: Procurement ArcLight shall procure modules, inverters, trackers, transformers, batteries, battery management systems, power conversion systems, switchgear, SCADA equipment, weather stations, fencing, spare parts, and all balance-of-system equipment.

Section 2.03: Construction ArcLight shall perform site clearing, grading, road construction, pile installation, racking, module installation, inverter installation, cable trenching, substation work, battery container placement, fire suppression, testing, and restoration.

Section 2.04: Commissioning Commissioning includes mechanical completion, electrical completion, energization, functional testing, performance testing, reliability run, punch list completion, and turnover documentation.

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The operations and maintenance price is \$5,800,000 per operating year for the first five years and escalates by 2.5% annually thereafter.

Section 3.02: EPC Milestone Payments | Milestone | Target Date | Payment | |---|---|---|
| Notice to Proceed | January 10, 2028 | \$14,300,000 | | 30% engineering complete | April 30, 2028 | \$22,000,000 | | Major equipment ordered | June 15, 2028 | \$40,000,000 | | Civil work 50% complete | October 31, 2028 | \$35,000,000 | | Mechanical completion of solar field | June 30, 2029 | \$62,000,000 | | Battery installation complete | August 15, 2029 | \$38,000,000 | | Substation ready for energization | September 30, 2029 | \$30,000,000 | | Commercial Operation Date achieved | December 31, 2029 | \$44,700,000 | ### Section 3.03: Retainage Owner shall retain 10% from each EPC milestone payment until Mechanical Completion, then reduce retainage to 5%.

Remaining retainage is released after final completion, lien waivers, as-built drawings, warranty documents, spare parts delivery, and training.

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Milestone delay is measured against the target dates unless an approved change order extends the schedule.

Section 4.02: Liquidated Damages for Delay | Delayed Milestone | Liquidated Damage | |---|---|
| Mechanical completion of solar field after June 30, 2029 | \$75,000 per day | | Battery installation complete after August 15, 2029 | \$60,000 per day | | Substation ready for energization after September 30, 2029 | \$85,000 per day | | Commercial Operation Date after December 31, 2029 | \$150,000 per day | Aggregate delay liquidated damages are capped at \$18,000,000.

ArcLight guarantees that the solar facility will achieve at least 98.0% of the guaranteed capacity ratio during the performance test and that the battery storage system will achieve at least 95.0% round-trip efficiency at commissioning.

Section 5.02: KPI-1 Solar Performance Ratio **Target:** Annual performance ratio of at least 84.0% during each operating year.

Penalty: \$250,000 per 0.5 percentage point below 84.0%, capped at \$3,000,000 per operating year.

If performance ratio falls below 80.0%, Owner may require an independent engineering review at ArcLight's cost.

Section 5.03: KPI-2 Plant Availability **Target:** Solar plant mechanical availability of 99.0% and battery system availability of 97.5% each calendar quarter.

Penalty: \$100,000 per 0.1 percentage point below the applicable target, capped at \$2,500,000 per quarter.

Section 5.04: KPI-3 Battery Dispatch Accuracy **Target:** 98.5% of dispatch instructions executed within two minutes and within 2% of instructed MW output.

Penalty: \$15,000 per failed dispatch instruction after the first five failures in a month.

If dispatch accuracy falls below 95.0%, ArcLight must submit a controls remediation plan within five business days.

Section 5.05: KPI-4 Corrective Maintenance Response **Target:** Critical equipment alarms acknowledged within fifteen minutes and field response initiated within two hours.

Penalty: \$5,000 per missed acknowledgment and \$20,000 per missed field response for critical alarms.

Section 5.06: KPI-5 Safety Performance **Target:** Total recordable incident rate below 1.0 and zero fatalities.

Penalty: A fatality or willful safety violation is a Critical Safety Breach.

Recordable incident rate above 1.0 triggers a safety stand-down and Corrective Action Plan.

Section 5.07: KPI-6 Environmental Compliance **Target:** Zero uncured environmental notices of violation.

Penalty: \$50,000 per uncured notice of violation after ten business days and reimbursement of fines, mitigation costs, and agency fees caused by ArcLight.

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Section 6.02: Spare Parts ArcLight shall maintain minimum spare parts including inverter modules, tracker motors, fuses, combiner components, communication devices, weather station sensors, battery HVAC components, and fire suppression consumables.

Section 6.03: Outage Coordination Planned outages require ten business days' notice unless emergency conditions apply.

ArcLight shall coordinate outages with Owner, utility interconnection operator, and power purchaser.

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The report must include labor counts, work completed, safety observations, environmental observations, equipment deliveries, schedule variances, open RFIs, and weather impacts.

Section 7.02: Weekly Executive Report Every Friday by 4:00 PM Mountain Time, ArcLight shall submit a weekly executive report with schedule status, critical path, milestone forecast, cost exposure, quality issues, procurement risks, safety metrics, and environmental status.

Section 7.03: Monthly O&M Report During operations, ArcLight shall provide monthly O&M reports by the tenth calendar day.

Reports must include availability, performance ratio, battery dispatch accuracy, alarms, outages, warranty claims, vegetation status, safety events, and environmental compliance.

Section 7.04: Records Retention ArcLight shall retain engineering records, test results, inspection records, commissioning records, safety records, environmental records, and O&M logs for ten years after the O&M term.

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Section 8.02: Performance Testing The performance test shall be conducted after mechanical completion, energization, and stable operations.

The test protocol shall normalize for irradiance, temperature, availability, curtailment, grid outage, and other permitted exclusions.

Owner shall support land use and interconnection approvals assigned to Owner.

Section 9.02: Environmental Commitments ArcLight shall comply with dust control, stormwater pollution prevention, wildlife protection, cultural resource procedures, vegetation restoration, waste management, spill prevention, and noise limits.

Section 9.03: Community Commitments ArcLight shall maintain a community hotline, respond to complaints within two business days, provide monthly complaint logs, and coordinate road impacts with county officials.

--- ## ARTICLE X: WARRANTIES AND INDEMNITY ### Section 10.01: EPC Warranty ArcLight warrants EPC work for twenty-four months after Commercial Operation Date.

Corrected work is warranted for twelve months after correction or the remainder of the original warranty, whichever is longer.

Section 10.02: Equipment Warranties ArcLight shall assign manufacturer warranties to Owner and administer claims during the O&M term.

Minimum warranty terms are twenty-five years for modules, ten years for inverters, fifteen years for battery containers, and ten years for trackers.

Section 10.03: Indemnity ArcLight shall indemnify Owner for third-party claims arising from bodily injury, property damage, environmental contamination, lien claims, intellectual property infringement, labor violations, safety violations, and ArcLight's negligence or willful misconduct.

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Section 11.02: Step-In Rights If ArcLight fails to protect the project, safety, environmental compliance, grid compliance, or critical schedule, Owner may step in after forty-eight hours' notice, or immediately in an emergency.

ArcLight shall reimburse reasonable step-in costs caused by ArcLight default.

Section 11.03: Termination for Convenience Owner may terminate for convenience on thirty days' written notice.

ArcLight shall be paid for work performed, reasonable demobilization costs, and approved non-cancellable commitments, less amounts owed to Owner.

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Litigation may be filed in state or federal courts located in Colorado after mediation.

Section 12.02: Confidentiality Project information, pricing, design documents, performance data, grid data, and security information are confidential.

Obligations survive for five years, and trade secrets survive as long as protected by law.

Section 12.03: Force Majeure Force Majeure includes extreme weather exceeding the ten-year historical average, earthquake, wildfire evacuation order, government shutdown, war, embargo, or grid outage not caused by ArcLight.

Supply chain delays are Force Majeure only if ArcLight could not reasonably mitigate through alternate suppliers.